

Specific Reasons for Questioning or Rejecting the Past Record

IN ANALYZING AN INDIVIDUAL company, each of the governing elements in the operating results must be scrutinized for signs of possible unfavorable changes in the future. This procedure may be illustrated by various examples drawn from the mining field. The four governing elements in such situations would be: (1) life of the mine, (2) annual output, (3) production costs and (4) selling price. The significance of the first factor has already been discussed in connection with charges against earnings for depletion. Both the output and the costs may be affected adversely if the ore to be mined in the future differs from that previously mined in location, character or grade.¹

Rate of Output and Operating Costs. *Examples: Calumet and Hecla Consolidated Copper Company.* The reports of this copper producer for 1936 and previous years illustrate various questions with respect to ore reserves. The income account for 1936 may be summarized as follows:

Copper produced	78,500,000 lb.
Copper sold	95,200,000 lb. @ 9.80 cents
Profit before depreciation and depletion	\$3,855,000
Depreciation	1,276,000
Depletion	1,726,000
Earned per share after depreciation but before depletion on 2,006,000 shares	\$1.29

¹ When ore reserves are stated only as so many tons, or so many years of life, these data may be misleading in the absence of assurance regarding the *quality* of ore remaining. *Example:* The depletion charges of Alaska Juneau Gold Mining Company suggested a remaining life of some 85 years from 1934. The registration statement however, claimed only some 25 years of life from 1934. The implication (confirmed upon inquiry) is that the longer "life" included much low-grade ore of noncommercial character.